

Elevator Modernization Milestone Payment Schedule

This section will describe milestone-based commercial interim payments tied to specific performance events under the elevator modernization contract, and how they are computed, earned, liquidated, secured, and requested in accordance with FAR Subpart 32.2, FAR 32.202-4, and FAR 52.232-29.

(i) Computation of financing payment amounts

The contract establishes fixed percentage financing payments that apply to the total contract price (or the applicable CLIN(s)) for elevator modernization, with each percentage due upon completion and approval of a defined milestone. The milestones and associated percentages are outlined in the attached milestone payment schedule. Each financing payment equals the stated percentage multiplied by the contract price applicable to that elevator or unit, and is computed and paid only for those items identified in the contract schedule as authorized for financing under FAR Subpart 32.2.

(ii) Conditions of contractor entitlement

The contractor is entitled to each financing payment only when all FAR 52.232 29 entitlement conditions are satisfied and the specific milestone trigger has occurred and been accepted by the Government. Entitlement requires: (1) that the requested financing payment is properly due under the contract's milestone schedule; (2) that supplies or services will be delivered or performed in accordance with the contract; and (3) that there has been no impairment or diminution of the Government's security. In addition, for each milestone, entitlement is conditioned on Government approval of the required documentation outlined in the attached milestone payment schedule.

(iii) Liquidation by delivery payments

All milestone payments under this schedule are commercial interim payments and therefore constitute contract financing payments that must be liquidated from subsequent delivery (invoice) payments in accordance with FAR Subpart 32.2. Upon delivery, acceptance, and invoicing for the completed elevator modernization work, the Government's delivery payment obligation will be reduced by the cumulative amount of prior financing payments for that same elevator or line item, so that the total of all financing plus delivery payments does not exceed the contract price. The contractor's final invoice for each elevator will show, or will be subject to, the deduction of the total milestone financing previously paid so that all such financing is fully liquidated through delivery payments.

(iv) Security for financing payments

The milestone-based payments described in this payment schedule constitute contract financing payments under FAR Subpart 32.2 and are subject to the terms of FAR 52.232 29, Terms for Financing of Purchases of Commercial Products and Commercial Services. All such contract financing payments are secured by the performance bond furnished under FAR 52.228 16, Performance and Payment Bonds—Other Than Construction, as specified in the clause 'solicitation section 1.2.' The Contractor's entitlement to milestone financing payments, and the Government's obligation to make those payments, are expressly conditioned on the continuing effectiveness of that bond (or other security acceptable under FAR 32.202 4) in the amount required by that clause. The Contractor's requests for milestone financing payments shall reference the 'solicitation section 1.2.' clause and affirm that the required security remains in full force and effect at the time of the request.

(v) Frequency, form, and content of requests

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The contractor may request contract financing payments no more frequently than monthly and only after the applicable milestone conditions have been met. Each request will be in the form prescribed by the contracting officer and, at a minimum, will include all information required by FAR 52.232 29: contractor name and address, date of the request, contract/order number, and an appropriately itemized and totaled statement of the financing payments requested, prepared in accordance with contracting officer instructions. In addition, consistent with the milestone schedule, each request must identify the specific milestone(s) for which payment is sought; state the corresponding percentage(s) and dollar amounts; and include the required supporting documentation so the Government can verify entitlement and compute the amount due.

Milestone 1: Payment for Bonds

- Trigger: Contractor submits and government approves payment and performance bonds.
- Payment: 1%
- Documentation: Approved Payment and Performance Bonds

Milestone 2: Submittals, Design, Shop Drawings (Accident Prevention Plan and Modernization Schedule)

- Trigger: Contractor submits and government approves all submittals to include the accident prevention plan and modernization schedule.
- Payment: 5%
- Documentation: Submittal Log

Milestone 3: Elevator Equipment Ordered

- Trigger: Contractor places order for equipment.
- Payment: 12%
- Documentation: Paid purchase order.

Milestone 4: Mobilization/Demolition, Installation and Acceptance (Per Elevator)

Milestone 4A: Mobilization/Demolition of Existing Elevator

- Trigger: Contractor mobilizes to the project site and completes demolition of exiting elevator.
- Payment: 32%
- Documentation: Inspection and validation by VA COR.

“Milestone 4A (Mobilization/Demolition of Existing Elevator): Percentage shown is the total for all elevators and shall be divided equally by the number of elevators (e.g., $32\% \div 2$ elevators = 16% per elevator).”

Milestone 4B: Installation Complete/Final Acceptance

- Trigger: Elevator installed, operational, passes final inspection and is accepted by the government.
- Payment: 50%
- Documentation: Passing VA QEI Inspection Report.

“Milestone 4B (Installation Complete/Final Acceptance): Percentage shown is the total for all elevators and shall be divided equally by the number of elevators (e.g., $52\% \div 2$ elevators = 26% per elevator).”